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Stopping stock from going missing

A plain-English summary of how the new inventory system will work — and why nothing will be able to disappear without a trace.

Inventory System — Executive Summary

Prepared for the business owner

August 2026 · **Version 2.0** — rebuilt after a forensic audit of our own design

The short version: your warehouse keeps working exactly as it does today — no scanners, no machines, no new equipment. What changes is that every movement leaves a permanent record with a name on it, and no one person can create a loss and hide it.

Today you find out too late. After, you find out the same day.

The problem is not that people are careless. The problem is that paper cannot be cross-checked fast enough to catch anything while it still matters.

Today — on paper

- ✗ You discover stock is missing months later, during a count.
- ✗ Nobody can say when it happened, who handled it, or which sale caused it.
- ✗ The only way to know what you have is to stop everything and count.
- ✗ A supplier who short-delivers looks exactly like theft in your warehouse.

After — with the system

- ✓ A shortage shows up the same day it happens.
- ✓ Every item traces back to a date, a document, and a person.
- ✓ You can see your stock and its value any time, without counting.
- ✓ Supplier shortages are separated from warehouse losses automatically.

This does not mean mistakes and theft become impossible. It means nothing can happen *silently*. Any gap points straight to an exact day, an exact item, and an exact person — while you can still do something about it.

Nobody types in a stock number. Ever.

Your stock level is never a number someone can set. It is only ever the running total of movements that each have a signed document behind them.

What happened	Document	Change	Stock now
Received from supplier	RR-ILO-0231	+2,500	2,500
Sold at the store	SI-ILO-0442	-60	2,440
Delivered to a wholesale customer	DR-ILO-1188	-500	1,940
Customer returned, still sellable	RRR-ILO-0067	+40	1,980
Damaged, written off with approval	IAV-ILO-0012	-20	1,960
Stock on hand today			1,960

✗ **This does not exist**

A screen where someone types "stock = 1,960". There is no such button for anyone — not staff, not the manager, not you.

✓ **This is the only way**

Add a movement, with a document and a name attached. The total recalculates itself.

And the past cannot be rewritten either. Every night, the system works out a single "fingerprint" number from the entire history of movements, and sends it to you and your auditor — outside the branch. Change even one old entry, and tonight's fingerprint no longer matches the one you already hold. Even someone with full access to the computer itself cannot quietly edit history.

Five rules. That is the whole system.

Everything else in the detailed design is just these five rules applied to a specific situation.

1

Nothing moves without paper

Every item in or out is written on a numbered form at the moment it moves. The form is photographed as it is typed into the system, so what was written and what was typed can always be compared.

2

Two people count — and cannot compare

They count from opposite ends and hand separate slips straight to the supervisor, never to each other. If a pair's counts match *perfectly* every single time, that is flagged — genuine counts occasionally differ by one.

3

Nothing is ever erased

A mistake is corrected by adding a new line, never by rubbing out the old one. The original stays visible forever, and the nightly fingerprint means nobody can rewrite it later.

4

Corrections need two signatures

Whoever asks to correct a stock number can never be the one who approves it. Small corrections cannot be split up to stay under your limits — the system adds up everything one person requests in a week.

5

Stock can never go below zero

If someone tries to release more than the records show, the system simply stops — and only you can unblock it, before it happens, not afterwards. Negative stock is exactly how real shortages hide for months, so it is never allowed to occur in the first place.

The one thing that would break all of this: adding a "quick edit stock" button because it is faster. Every request for one has a real need behind it that an existing form already covers — the button itself must never exist.

We tried to rob you, before someone else did

Before showing you this, we audited our own design as if we were a dishonest employee with months to plan and nothing to lose. We found **35 ways to beat it**. All 35 are now closed. These four were the worst.

35

ways found to beat the original design

14

of them serious enough to cause large, repeated loss

35

now closed with a specific system rule

1 · Two friends fake the double count

The second counter simply asks the first what they got. Nothing physically stopped it, and the paperwork looked perfect — two signatures, two matching numbers.

Now blocked: separate slips, opposite ends, handed straight to the supervisor. And a pair whose counts match exactly every single time gets flagged — real counts differ by one now and then.

2 · A whole delivery "cancelled" on paper

Receive the goods for real, store them, then mark the form cancelled. Real stock in your warehouse, no record anywhere — and a count would never find it, because the system never knew it existed.

Now blocked: once goods have been handled, a cancellation is only accepted with a gate record proving they physically left the property again.

3 · One wrong pack size, forever

Set up "1 sack = 480 pieces" when it is really 500. Every sack ever received quietly under-records by 20, and staff who know the real number take the difference. No single transaction ever looks wrong.

Now blocked: before any new pack size can be used, someone physically counts out one full sack, witnessed by two people, and that count is recorded permanently.

4 · Rewriting history from the back door

"Nothing can be edited" was only true inside the software. Anyone with direct access to the computer's database could change an old entry — including the record of who changed it.

Now blocked: the nightly fingerprint sent to you and your auditor. Alter anything in the past and tonight's number stops matching the one you already hold.

Why we are telling you this: a design nobody has attacked is not a safe design — it is an untested one. Everything in the following pages is the version that survived the attack, not the version we first drew up.

From the supplier's truck to your shelf

Seven steps. Goods are **not** your sellable stock until step 6 is signed.

- 1 Truck arrives at the gate**
The guard writes down the time, the plate number and the delivery papers. Nothing is unloaded before this. For any delivery with no purchase order, the office phones the supplier on a number we hold on file — never the number printed on the delivery note.
- 2 Unload into the Receiving Area only**
Never straight onto the shelves. Until it is counted and checked, it stays in its own marked lane, away from stock you already own.
- 3 First count**
The receiver counts in sacks or boxes — the way the goods are actually carried — and writes it on their own numbered slip.
- 4 Second count, from the other end** **THE KEY STEP**
A different person counts from the opposite side and hands their slip *straight to the supervisor* — never to the first counter. If the two differ, the supervisor counts a third time, watched and recorded by another staff member.
- 5 Check the quality**
Right thickness, right colour, no yellowing or brittleness, packing dry and intact. One pack in twenty is opened and counted inside. Anything wrong goes to Quarantine straight away.
- 6 Supervisor approves**
The supervisor checks the paperwork *and* physically spot-checks one line. Only when this is signed does it become stock you can sell.
- 7 Store it, and record it twice** **HARDENED**
New stock goes behind the old stock so the oldest sells first. The warehouse writes it in the bound stock book, and the office types it in — **photographing the signed form as they do**, so the paper and the typed figure can always be checked against each other.

Step 4 is the step that stops losses at the door. It is the moment goods physically exist but are not yet in any record — the easiest moment in the whole business to take something. Two genuinely separate counts close it, and it costs nothing but a few minutes.

From your shelf to the customer

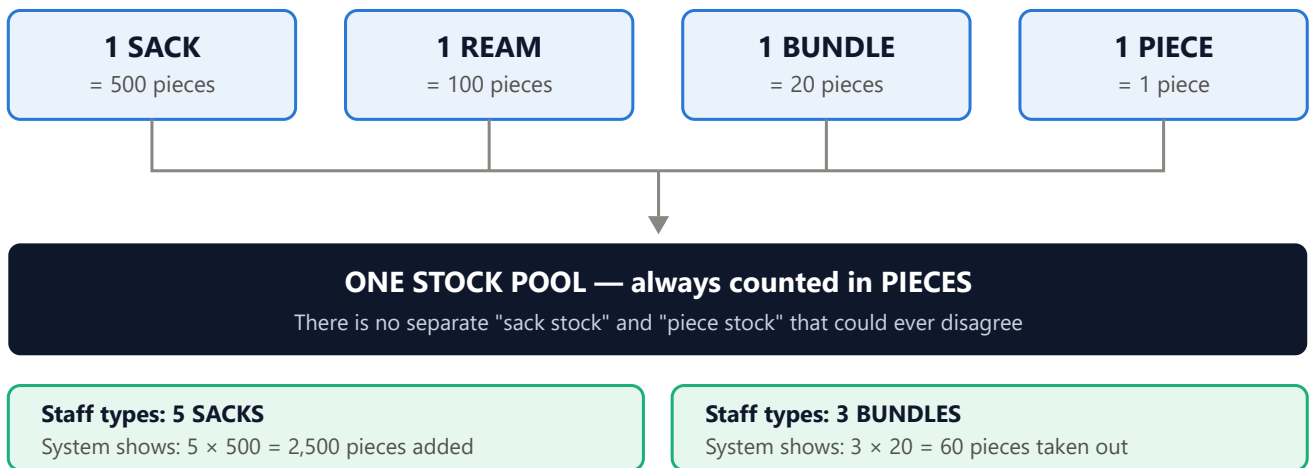
Same principle in reverse: at least two different people must handle every release, and nothing passes the gate without paper — or without matching the weight it should be.

- 1 Order approved, stock set aside**
The moment an order is confirmed, that quantity is reserved so the same sacks cannot be promised to a second customer.
- 2 Picking list issued**
The picker is told exactly what to pull and from where. Nobody picks from memory or from a verbal instruction.
- 3 Pick — oldest stock first**
The picker writes down what was actually pulled, even if it differs from what was asked for. If the shelf is short, they stop and call the supervisor instead of substituting.
- 4 A different person checks it** **THE KEY STEP**
The checker counts the staged goods against the *customer's order* — not against the picker's numbers. On top of that, the system picks releases at random for a surprise third recount by someone with no part in that order.
- 5 Sealed and signed for release**
The load is closed with a numbered tamper seal, and the seal number goes on the delivery receipt. The supervisor's signature is what transfers responsibility out of the warehouse.
- 6 Weighed and checked at the gate** **HARDENED**
The guard checks the seal is unbroken, counts the sacks, and **weighs the load**. If the weight does not match what the paperwork says is on board, the vehicle does not leave. No gate pass, no exit — for anyone, including family and urgent customers.
- 7 Customer signs on delivery**
The signed receipt must be back in the office within 24 hours. If it is not, that alone opens an investigation — a driver cannot run out the clock by simply losing the paperwork.

Why the weighing matters: counting sacks only proves how many sacks left — not what was inside them. Weighing catches the swap that counting cannot: a full sack going out labelled as damaged scrap, or a cheap product's sack filled with an expensive one.

Sell it in any size. Count it in only one.

You can have as many pack sizes as you like — per piece, bundle, ream, sack, box, carton, or anything you add later. Underneath, there is only ever **one** pile of stock.



Staff never do arithmetic

They type what they are holding — "5 sacks" — and the screen answers "that is 2,500 pieces, correct?" before anything is saved.

A new pack size must be proven first

Before "1 sack = 500" can be used, someone counts out one full sack in front of two witnesses. A typo here would steal from you on every single sack, forever.

Why that second point matters more than it looks: a wrong pack size is the only mistake in this entire system that never shows up as a discrepancy. Every transaction looks perfectly normal while the difference quietly walks out the door. So the number gets physically proven once, and then locked.

Every movement has a name attached to it

Small teams are fine — one person can wear several hats. But four pairs of jobs must never sit with the same person.

Receiver

Counts and inspects what arrives from suppliers.

Checker

Counts a second time, from the other end, on a separate slip.

Picker

Pulls goods for orders against a picking list.

Encoder

Types signed papers into the system, photographing each one. Never touches goods, never approves.

Supervisor

Verifies receipts, authorises releases, settles disputed counts.

Manager / Owner

Approves corrections and write-offs. Sees everything.

Four pairs that must never be the same person

Picker  Checker

Requests a correction  Approves it

Holds the goods  Keeps the only record

Runs operations  Audits them

Nobody can grant themselves an exception

"The encoder is off sick, so I did it myself" is not something staff can decide. Only you can allow it, in the moment, and it switches itself off at the end of that day.

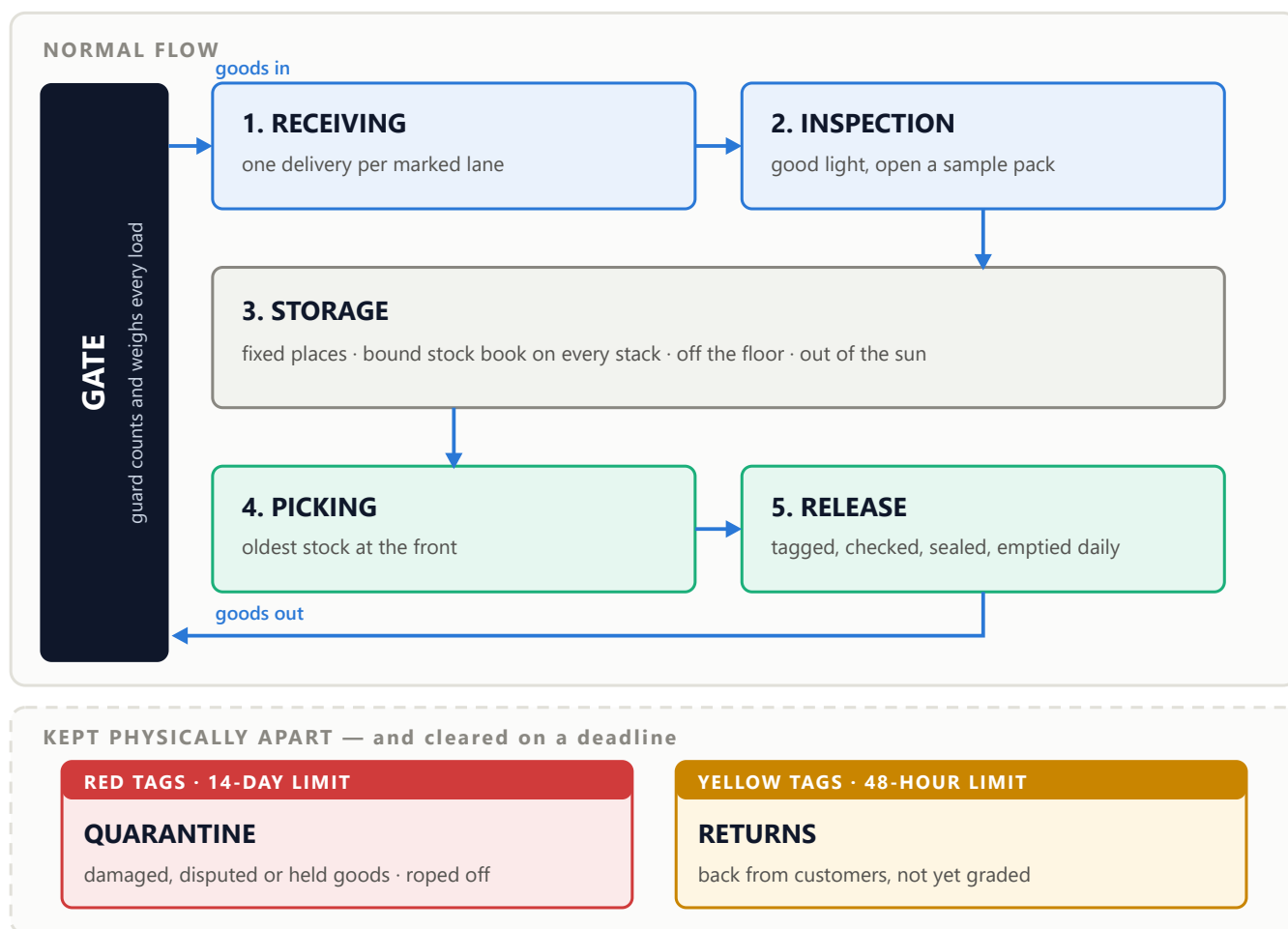
Screens lock after three minutes

So a transaction can never be done under somebody else's name while they are away from the counter.

If your branch is too small to split these, the fix is not to give up the rule — it is that you personally approve every correction, and the daily report comes to your phone whether or not anything is wrong.

Separate areas do half the work

Goods that are not yet yours, and goods that must never be sold, are kept physically apart — not just marked differently in the computer.



Nothing goes straight to the shelf

Deliveries are unloaded into the receiving lane, never into storage, until they are counted and approved.

Nothing sleeps in the release area

It is emptied every day, so there is never a pile of goods sitting outside both storage and the records.

Nothing parks in quarantine

Damaged and held goods have a deadline. Past it, a manager must physically re-inspect — so it cannot become a hiding place.

Two records, kept by two different people

A bound, numbered stock book sits at every stack. The warehouse writes in it by hand as goods move. The office separately records the same movements from signed papers.

STOCK BOOK p.114 — Bay A-3

Date	Document	In / Out	Balance
08/05	RR-0231	+2,500	2,500
08/05	SI-0442	-60	2,440
08/05	DR-1188	-500	1,940
08/05	RRR-0067	+40	1,980
Balance in the book			1,980
bound numbered page · photographed at closing			

SYSTEM — Tiny Plastic · Bay A-3

Date	Document	In / Out	Balance
08/05	RR-0231	+2,500	2,500
08/05	SI-0442	-60	2,440
08/05	DR-1188	-500	1,940
08/05	RRR-0067	+40	1,980
Balance in the system			1,980
encoded in the office, from photographed papers			

must match

checked every day

If the two agree

Your stock is almost certainly right, and you did not have to close the warehouse and count to find that out.

If the two disagree

You know within a day — and the gap points at a specific date, a specific document, and a specific pair of initials.

And it cannot be rewritten

Pages are bound and numbered, and each day's page is photographed at closing. A page rewritten later will not match its own photograph.

Why two records instead of one: two different people, working from two different sources, cannot both be wrong in the same direction by accident. This is what a barcode scanner would have done for you — done instead with a bound notebook and a ballpen.

Your business on one screen

Open it any time, from anywhere. And every evening, a short report comes to your phone — **whether or not anything is wrong**, so that silence is never mistaken for good news.

Stock value on hand
₱2.41M
✓ Up to date

Shrinkage this month
0.3%
✓ Within target

Counts done on schedule
100%
✓ None skipped

Corrections this month
5
! Review these

Open investigations
2
! 1 is over 3 days old

Blocked negative stock
0
✓ Normal

Sent to your phone every evening — 5 August

✗ Serious

Sando Bag Large — counted 18 sacks, system says 20. Investigation opened, assigned to the branch manager.

! Check

2 corrections approved today — both by the branch manager, both under ₱1,000. Reasons: damage in storage, encoding error.

! Check

1 delivery receipt still not returned — dispatched 31 hours ago, past the 24-hour limit. Driver and route named.

✓ Clean

All 34 documents encoded and photographed, all form numbers accounted for, staging area empty, record fingerprint matches.

Figures shown are examples only. The point is what you are told without having to ask: not just what you own, but what looks wrong today — including whether the checks themselves actually happened.

Almost none of it is technology

The controls that stop losses are made of paper, paint and habit. That is deliberate — they work during a brownout, and staff can learn them in a day.

Buy now — all of it is cheap

- ✓ Numbered form booklets from a local print shop
- ✓ **Bound, numbered stock books** for each storage bay — **replaces loose cards**
- ✓ A **platform scale at the gate** — **one-time purchase**
- ✓ **Numbered tamper-evident seals** for outgoing loads
- ✓ Paint, rope, signs and red/yellow tags for the areas
- ✓ Lockers at the warehouse entrance for personal bags
- ✓ A UPS for the office computer — brownouts are routine
- ✓ An ordinary phone for photographing forms, damage and disposals

Do not buy yet

- ✗ Barcode scanners
- ✗ RFID tags or readers
- ✗ Automated racking or conveyors
- ✗ A separate warehouse management system

Why not buy the scanners now? Scanners layered on loose habits just produce faster, more confident mistakes — the wrong number, entered more quickly and trusted more. Get six months of clean counts first. Then, if it still looks worth it, add barcodes to your highest-value items only, printed in-house and read with an ordinary phone.

Six decisions we need from you

Each of these changes how the process is built, so we need them before work starts — not settings we can flip later.

1. Who is your auditor? ← the most important one

Someone independent who does *not* run daily operations. Most of the safeguards in this document only work if a genuinely independent person checks them. If this role goes to someone inside daily operations, a large part of the protection becomes decorative.

2. Approval limits

Up to what peso value can a branch manager approve a stock correction alone, before it has to come to you?

3. One stock pool or two?

Do the store counter and wholesale customers draw from the same stock, or should some be set aside for each?

4. Delivery dispute window

How long does a customer have to report a short delivery — 24, 48 or 72 hours — before the record is final?

5. Your high-risk products

Which items are expensive, small, or most often stolen? Those get counted weekly instead of monthly.

6. Branches

How many branches do you expect, and roughly when? It is far cheaper to allow for this now than to retrofit it.

What happens next

1	2	3	4	5
You answer the six questions	We finalise the process with your supervisor	The system is built	Four weeks running paper and system side by side	Go live, starting from a counted opening balance

One request before go-live: a full, careful count that you personally sign off. A system that starts from wrong numbers will produce differences forever, and your staff will stop trusting it in the first month.

This summary covers the decisions and the shape of the process. Two fuller documents sit behind it: the **Business Process Design** (every step, form, rule and exception, written so a software team can build from it without guessing) and the **Fraud Audit** (all 35 attacks we found against our own design, and the exact rule that closes each one).